

HOUTHİ ACTIONS IN THE RED SEA: PRIVATE SECTOR THREAT ASSESSMENT REPORT

I. EXECUTIVE SUMMARY

- Houthi attacks on commercial vessels transiting through the Red Sea began in November 2023.
- Vessels linked to the US, UK and Israel or simply those destined for Israel are being targeted.
- The Houthis have used Remote-Controlled Waterborne Improvised Explosive Devices (RC-WBIEDs), Unmanned Aerial Vehicles (UAVs) and anti-ship ballistic missiles to successfully attack 200 ships.
- Effectiveness of attacks has been increasing while effectiveness of interceptions remains low. If attacked, severe damage is likely.
- Security concerns have caused ships to re-route around the Cape of Good Hope, drastically increasing transit time and costs.

II. CONTEXT

The Houthi rebels (officially known as Ansar Allah) are a Zaidi Shiite political and militant group originating from Yemen. Conflict with the Yemeni government has led to violent clashes since 2004 and in 2014, the Houthis took control of the capital Sana'a, launching Yemen's civil war. They now control 1/3rd of Yemen's territory. The group holds a strongly anti-imperialist and anti-Western ideology, especially opposing the United States of America, its Western allies and Israel. The American government has now designated the Houthis to be a Specially Designated Global Terrorist Group.

Houthi actions in the Red Sea began in November 2023. Their actions have included attacking and damaging numerous vessels, largely including merchant ships transiting through the critical Bab Al-Mandab Strait and Suez Canal. The disruption in the region has been claimed to be in support of the Palestinians in the war with Israel and Hamas in the Gaza strip, asserting that Israel's retreat from the war is a necessary condition to peace in the Red Sea. They have announced a specific target profile for ships linked to the US, UK or Israel, including ships destined for Israel. In December 2023, a US – led coalition launched Operation Prosperity Guardian to provide military protection in the region. In February 2024, the EU similarly launched Operation Aspidos. Despite these efforts, Houthi attacks have been endangering trade in the Red Sea for the past year.

III. THREAT ANALYSIS

The Houthi's primary modus operandi has been to use Remote-Controlled Waterborne Improvised Explosive Devices (RC-WBIEDs), Unmanned Aerial Vehicles (UAVs) and anti-ship ballistic missiles to target merchant ships. Using GPS technology and a live video feed, these explosive devices therefore require no on-board crew and are controlled by land. The Houthi missile arsenal has a maximum range of 1,900 km, while their UAVs have a range of 2,500 km, therefore putting the entirety of the Red Sea within striking distance. This is potentially supplemented by targeted satellite data provided by Russia which allows the guiding of missiles and drones for attacks (Wall Street Journal, 2024). It is important to note that the Houthis rely primarily on Automatic Identification System (AIS) monitoring to identify target vessels. Calls to Israeli ports have also been monitored and utilized as a source of information and identification of ships.

As of 8th November 2024, 200 successful attacks have occurred on commercial ships transiting through the Red Sea. Only 46% of all attempted attacks have been intercepted by US – led or Israeli forces (ACLED, 2024). The low success rates have been acknowledged by the head of United States naval efforts in the Middle East, Vice Admiral George Wikoff in August 2024. (Xinhua, 2024) International military presence tends to act more as a first responder to attacks.

The number of attacks peaked in May and June 2024, immediately following a Houthi announcement of “escalation” to target ships not only based on their origin, but all ships destined for ports in Israel. This has shown a commitment by the Houthis to substantiate their statements with actions in the past – future statements must be carefully evaluated. Overall, there has been an increasing trend on the number of successful attacks on commercial vessels over the past year.

Numerous ships have also been targeted accidentally due to the use of outdated AIS and publicly available information. As of April 2024, approximately 15% of attacks were based on outdated information on the countries or companies that a vessel was affiliated with (AMBREY, 2024). Vessels that do not fall under the typical target profile must also thus exert extreme caution.

There is a high likelihood of intense damage to ships that have been attacked as the effectiveness of attacks has been increasing. Since November 2023, 2 ships have sunk, 4 crewmembers have been killed and one vessel and its crew (Galaxy Leader Vessel) remain detained. Ships such as the American Oil Vessel Olympic Spirit and Greek-flagged oil tanker MV Sounion have caught fire, lost power and sustained severe damage to their structures.

IV. BUSINESS IMPACT

Security threats to commercial ships transiting through the Red Sea have resulted in loss in time and increased costs for maritime companies. Numerous companies are now choosing to add 4,000 miles to their routes by sailing around the Cape of Good Hope instead. This has typically added 10-14 days to transit times and has increased fuel costs by \$1 million per trip (Al Jazeera, 2024). Shipping costs for Asia–Europe routes have seen the most increase at 350% for Shanghai–Genoa. Rotterdam–Shanghai and Shanghai–Los Angeles have also seen costs more than doubled (JP Morgan, 2024).

Security concerns have prompted companies to use smaller vessels - Maersk CEO Vincent Clerc said that his company will face a “reduced ability for us to carry all the demand that there is” (Al-Monitor, 2024). These supply chain disruptions have caused transportation delays. The automotive industry has been most affected due to its reliance on “just in time” manufacturing processes - suspension of production by companies such as Tesla and Volvo has resulted in a hit to stock prices, which still remain below last year’s levels.

Simultaneously, the Houthis have also begun to charge vessels for the right of safe passage through the Red Sea, with a U.N report estimating the cost to be approximately \$180 million a month (Seatrade Maritime, 2024).

Overall, the past year has seen \$6 billion in lost revenues for Egypt, which controls the Suez Canal while the region, which used to carry more than 12% of global trade, has seen a 60% reduction in ship passages since Houthi attacks began in November 2023 (IMF Port Monitor, 2024).

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